UNIVERSITÀ DEGLI STUDI DI BERGAMO | Dipartimento di Scienze Aziendali

Master's Degree in Accounting, Governance and Sustainability

Business Ethics

Managing Business Ethics

RELATORI
Prof.ssa Silvana Signori

SEDE
Via dei Caniana, 2

DATA
AA 2026-2027

1

1

Recap

- ✓ Introduction of business ethics
- ✓ Evaluating business ethics: normative ethical theories
- ✓ Framing business ethics: stakeholder theories and purpose of corporations + Corporate social responsibility (CSR) and social connection responsibility

Managing Business Ethics: tools and techniques

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2

2

Diffusion of responsibility

Upstream responsibility

Sweatshops, etc.

e.g.: Starbucks and Fair trade coffee, Nike and subcontractors' workers, garments industry

Historical responsibility

Past events

e.g.: Ikea and East Germany

Company

Social connection responsibility

Forward-looking perspective – try to change the system

e.g.: fair trade, slow food, etc.

Downstream responsibility

Product security, guns, gaming, etc.

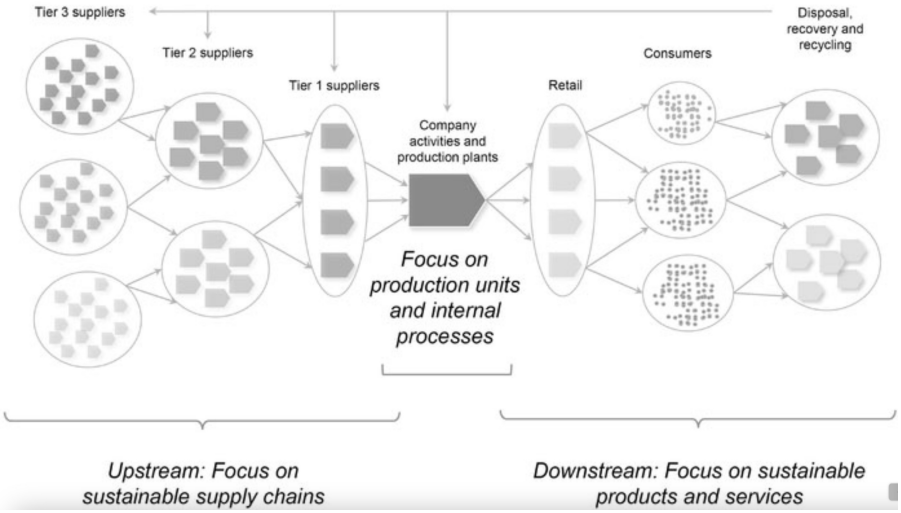
e.g.: IBM and Nazis, Ford and Iveco and Chine executions

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3

3

Diffusion of responsibility



Adapted from Sardà e Pogutz, 2019

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4

4

In-class activity: How Do Fast-Fashion Companies Respond to Criticism?

- In small groups, choose one fast-fashion company.
- Search the company's website and other reliable online sources.
- Find documents or statements addressing issues raised in *The True Cost* (exploitation of workers, low wages and unsafe working conditions, environmental pollution, etc.)
- Present the documents you found and explain:
  - What type of documents are they?
  - Who produced them?
  - What purpose do they serve?
  - What information do they provide?

5

In-class activity: How Do Fast-Fashion Companies Respond to Criticism?

Discuss the company's response:

- Did you find all the information you were looking for?
- Were you convinced by the company's arguments?
- What information or evidence was missing?
- What could the company do to improve its response and practices?

Share your conclusions with the class.

6

What is business ethics management?

Business ethics management *is the direct attempt to formally or informally manage ethical issues or problems through specific policies, practices and programmes*





Typical components of business ethics management

7

A governance for ethical commitment

Good corporate governance means that the processes of disclosure and transparency are followed so as to provide all stakeholders with precise and accurate information about the company.

- Mission and values statements
- Codes of ethics
- Policies and procedures (environmental and social management system)
- Certifications and auditing
- Transparency and accountability
- …



8

A governance for ethical commitment



- Mission and values statements
- Codes of ethics
- Policies and procedures (environmental and social management system)
- Certifications and auditing
- Transparency and accountability

Setting values and standards of ethical behaviour

Assessing ethical performance

Managing stakeholder relations

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9

Setting values and standards of ethical behaviour

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10

Purpose, mission and vision





Purpose = the core believe of the role of business into society
Vision = a shared picture of a desired future
Mission = the reason why a company exists
Goals = objectives that support your mission and vision (desired outcomes)
Activities/Projects = behaviour

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11

Purpose and mission statements

BEN & JERRY'S

Our Values, Activism and Mission

We believe that ice cream can change the world. We have a progressive, nonpartisan social mission that seeks to meet human needs and eliminate injustices in our local, national, and international communities by integrating these concerns in our day-to-day business activities.

Our Purpose

Southwest

To connect People to what's important in their lives through friendly, reliable, and low-cost air travel.

Our Vision

To be the world's most loved, most efficient, and most profitable airline.



In every home, facility, city, we put intelligent connections at the service of people.
We do it with passion, with method, with responsibility.

Our every action looks further: towards a safer, more efficient and sustainable future.

We're GEWISS. GEWISS

12

Code of ethics



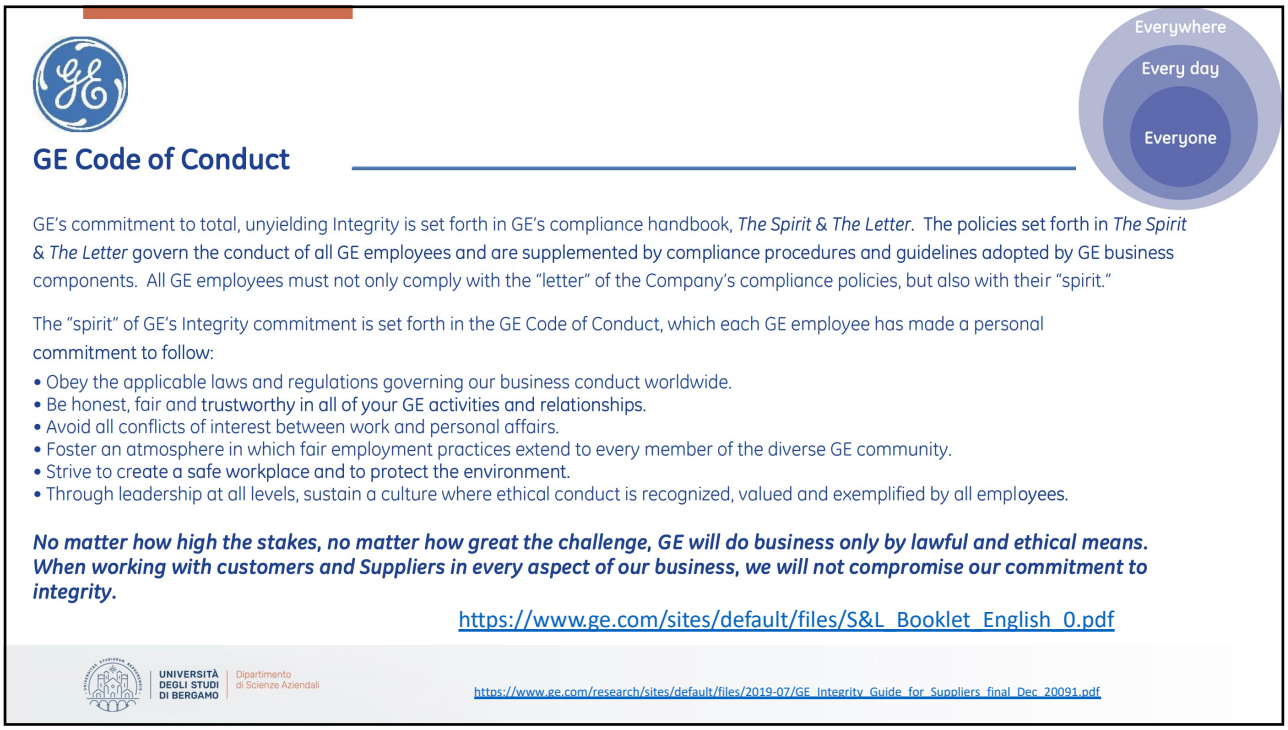
Codes of ethics are voluntary statements that commit organizations, industries, or professions to specific beliefs, values, and actions and/or set out appropriate ethical behaviour for employees.
(Crane et al., 2019)

Vast majority of large US companies have a code of ethics while 93% of FTSE 350 have a reported ethics programme of which a code ethics is the most prominent feature
(Institute of Business Ethics 2016)

Critiques of ethical codes



- Clear prescription for employees means lack of flexibility
- Difficulty with multiple/novel situations, particularly cross-cultural
- Vague, generalised statements of obligation
- PR device
- Questionable control mechanisms that potentially influence employee beliefs, values and behaviours
- 'Suppress' individual moral instincts and emotions in order to ensure bureaucratic conformity and consistency


Everywhere
Every day
Everyone
GE Code of Conduct
GE's commitment to total, unyielding Integrity is set forth in GE's compliance handbook, The Spirit & The Letter. The policies set forth in The Spirit & The Letter govern the conduct of all GE employees and are supplemented by compliance procedures and guidelines adopted by GE business components. All GE employees must not only comply with the "letter" of the Company's compliance policies, but also with their "spirit."
The "spirit" of GE's Integrity commitment is set forth in the GE Code of Conduct, which each GE employee has made a personal commitment to follow:
• Obey the applicable laws and regulations governing our business conduct worldwide.
• Be honest, fair and trustworthy in all of your GE activities and relationships.
• Avoid all conflicts of interest between work and personal affairs.
• Foster an atmosphere in which fair employment practices extend to every member of the diverse GE community.
• Strive to create a safe workplace and to protect the environment.
• Through leadership at all levels, sustain a culture where ethical conduct is recognized, valued and exemplified by all employees.
No matter how high the stakes, no matter how great the challenge, GE will do business only by lawful and ethical means. When working with customers and Suppliers in every aspect of our business, we will not compromise our commitment to integrity.
https://www.ge.com/sites/default/files/S&L_Booklet_English_0.pdf
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https://www.ge.com/research/sites/default/files/2019-07/GE_Integrity_Guide_for_Suppliers_final_Dec_20091.pdf

15


See the code of ethics here:
https://www.ge.com/sites/default/files/S&L_Booklet_English_0.pdf
ETHICS & COMPLIANCE
THE SPIRIT & THE LETTER

16

Ethics: *The GE Way*

See the code of ethics here: https://www.ge.com/sites/default/files/S&L_Booklet_English_0.pdf

KEY PRINCIPLES

1 | Be honest, fair and trustworthy in all of your GE activities and relationships.

2 | Obey applicable laws and regulations governing our business worldwide.

3 | Fulfill your obligation to be the Voice of Integrity and promptly report any concerns you have about compliance with law, GE policy or this Code.

KEY QUESTIONS

The Spirit & The Letter is not a substitute for your good judgment, and it cannot cover every conceivable situation. You should be alert to signs that you or your colleagues are in an integrity gray area and ask yourself three simple questions if you have any doubts about what you should do:

1. How would this decision look to others within GE and externally?
2. Am I willing to be held accountable for this decision?
3. Is this consistent with GE's Code of Conduct?

Remember: Act if you see an issue. Ask if you are unsure.

17

eni

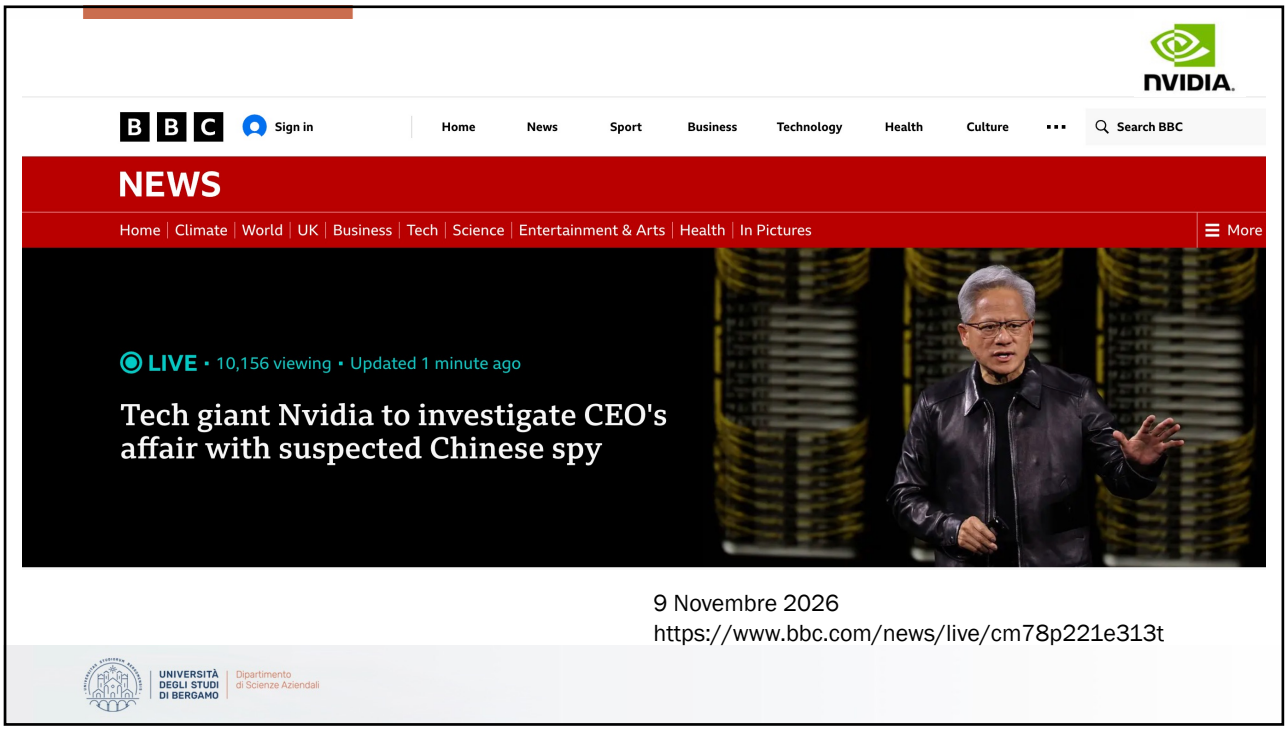
See: https://www.eni.com/en-IT/governance/rules/code-of-ethics.html





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18



19

NVIDIA: A Private or a Public Relationship? Is it a Business Ethics Issue?

NVIDIA

In the last few days ago (early November 2026) NVIDIA CEO Jensen Huang acknowledged that he had been unfaithful to his wife and apologised to his family and colleagues.

News reports linked him to a senior executive at an NVIDIA customer whom US intelligence reportedly suspected of gathering information for China.

NVIDIA's board launched an independent investigation into reports that Huang was the target of a foreign intelligence effort. The board said it had **no reason to believe** that national security or NVIDIA secrets had been compromised.

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20

Huang apologize to his colleagues and employeess

Huang said he had fallen short of his responsibility to be worthy of colleagues' trust.

From a business ethics perspective, a CEO's personal conduct can also raise questions about *leadership, judgement and trust*, particularly when a relationship involves a business partner and potential security concerns.

The apology to employees recognises the possible impact on the organisation; it does not establish that company rules were violated.

https://nvidianews.nvidia.com/news/a-message-to-our-company?

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A Message to Our Company

NVIDIA

NVIDIA founder and CEO Jensen Huang sent the following email to NVIDIA employees earlier today.

November 8, 2026

I owe my family and all of you an apology.

I was unfaithful to my wife. My actions hurt her and our children. There is no excuse for what I did. I am deeply sorry.

Throughout my life, my family has given me love and support. They deserve my honesty and loyalty. Instead, I let them down and damaged the life we built together. I take full responsibility for what I did and the hurt I caused, and I accept the criticism that comes with it.

To my wife and family: I love you. I know an apology cannot undo what I have done. I hope our family will heal and that, over time, I can earn back your trust.

To my colleagues at NVIDIA, including those I have worked alongside for decades, and to our board, partners, and shareholders around the world: you deserve better from me. Leading NVIDIA is the privilege of my life. My responsibility is to serve you and be worthy of your trust. I have fallen short of that responsibility. I am fully committed to NVIDIA and will work to earn back your confidence.

Regarding the national security concerns raised in news reports, NVIDIA's Board of Directors has initiated an independent investigation. I support the investigation and will cooperate fully. I love our country and our company. I am committed to protecting NVIDIA and supporting America's national security. I am proud and grateful to be an American.

My family bears no responsibility for my choices. I do. Please give them privacy.

Jensen

21

NVIDIA

Investors News Events & Presentations Stock Info Financial Info Governance Investor Resources

Press Release Details

https://investor.nvidia.com/news/press-release-details/2026/Statement-from-NVIDIA-Board-of-Directors/default.aspx

VIEW ALL NEWS

Statement From NVIDIA Board Of Directors

November 08, 2026

The NVIDIA Board is initiating an independent investigation in light of recent reporting that founder and CEO Jensen Huang has been the target of a foreign i effort.

A committee of independent directors, assisted by outside independent counsel, will oversee the investigation.

The Board prioritizes U.S. national and economic security, which is paramount to the interests of NVIDIA and its shareholders.

While the Board has no reason to believe that either national security or NVIDIA secrets were compromised, the Board's inquiry will examine all available inform

Jensen fully supports the review and has committed to cooperating with it.

The Board has confidence in Jensen and his leadership team and will provide further updates as appropriate.

22

What does Nvidia Code of Conduct say

Our Code

https://images.nvidia.com/aem-dam/en-zz/Solutions/about-us/NVIDIA-Code-of-Conduct-External.pdf

23

What Does NVIDIA's Code of Conduct Say?

NVIDIA had a public **Code of Conduct** before these events. It applies to employees and board members and describes managers as role models.

The 2023 version identifies **personal relationships** as a possible source of conflict of interest. It asks people facing an actual or perceived conflict to seek guidance; where a conflict arises, they must remove themselves from the relevant decision-making.

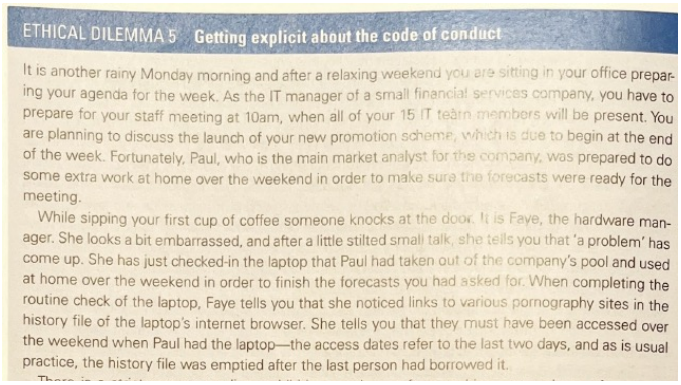
The same code addresses the protection of non-public information and compliance with international trade rules.

The public code does **not expressly prohibit romantic relationships in general**. Whether this particular relationship created a conflict, triggered another policy or breached any rule is a matter for investigation.

Discussion question: *When does a CEO's private relationship become a legitimate concern for the company and its stakeholders?*

24

Ethical dilemma 5 – Getting explicit about the code of conduct



ETHICAL DILEMMA 5 **Getting explicit about the code of conduct**

It is another rainy Monday morning and after a relaxing weekend you are sitting in your office preparing your agenda for the week. As the IT manager of a small financial services company, you have to prepare for your staff meeting at 10am, when all of your 15 IT team members will be present. You are planning to discuss the launch of your new promotion scheme, which is due to begin at the end of the week. Fortunately, Paul, who is the main market analyst for the company, was prepared to do some extra work at home over the weekend in order to make sure the forecasts were ready for the meeting.

While sipping your first cup of coffee someone knocks at the door. It is Faye, the hardware manager. She looks a bit embarrassed, and after a little stilted small talk, she tells you that 'a problem' has come up. She has just checked-in the laptop that Paul had taken out of the company's pool and used at home over the weekend in order to finish the forecasts you had asked for. When completing the routine check of the laptop, Faye tells you that she noticed links to various pornography sites in the history file of the laptop's internet browser. She tells you that they must have been accessed over the weekend when Paul had the laptop—the access dates refer to the last two days, and as is usual practice, the history file was emptied after the last person had borrowed it.

"… in order for codes to have credibility, companies must be willing to discipline *employees found in breach of them. Similarly, Treviño et al.'s (1999) survey revealed that* follow-through *(such as detection of violations, follow-up on notification of violations, and consistency between the policy and action) tended to be much more influential on employee behaviour than the mere presence of a code."*

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25

Effectiveness of codes of ethics

Effectiveness of a code is in the **implementation** and **administration** (Schwartz, 2004)

Suggestions for successful implementation:

- **How codes are written and accessible**: codes should be tailored to the organization and written in an appropriate tone.
- **How codes are supported**: codes should be supported by management & backed up with training.
- **How codes are enforced**: codes should be backed up with reporting lines, violations should be communicated to employees, and incentives (both positive & negative) should be created & communicated.

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26

Aspirational and rules-based tasks ethical code

To be effective codes should address both aspirational (general) and rules-based (specific) tasks:

"rules of conduct without a general values statement lack a framework of meaning and purpose; credos without rules of conduct lack specific content"

(Hoffman, Driscoll and Painter-Morland, 2001)

Global codes of ethics

Can organizations devise one set of principles for all countries in which they operate?

Consider some examples

- Gift giving in Japan vs. the UK
- Equal opportunity commitments in India, Saudi Arabia vs. UK

Relativism = ≠ codes for ≠ contexts ⟷ Absolutism = 1 code fits for all

Global codes of ethics

A possible solution (Donaldson, 1996)

MNEs should be guided by 3 principles:

- Respect for core human values
- Respect for local traditions
- Belief that context matters when deciding right and wrong

Global codes should define minimum ethical standards

- E.g. OECD Guidelines for Multinational Enterprise, UN Global Compact

UN Global compact

Corporate sustainability starts with a company's value system and a principles-based approach to doing business. This means operating in ways that, at a minimum, meet fundamental responsibilities in the areas of human rights, labour, environment and anti-corruption. Responsible businesses enact the same values and principles wherever they have a presence, and know that good practices in one area do not offset harm in another. By incorporating the Ten Principles of the UN Global Compact into strategies, policies and procedures, and establishing a culture of integrity, companies are not only upholding their basic responsibilities to people and planet, but also setting the stage for long-term success.

The Ten Principles of the United Nations Global Compact are derived from: the Universal Declaration of Human Rights, the International Labour Organization's Declaration on Fundamental Principles and Rights at Work, the Rio Declaration on Environment and Development, and the United Nations Convention Against Corruption.

https://www.unglobalcompact.org/

The Ten Principles of the UN Global Compact

Human Rights

Principle 1: Businesses should support and respect the protection of internationally proclaimed human rights; and

Principle 2: make sure that they are not complicit in human rights abuses.

Labour

Principle 3: Businesses should uphold the freedom of association and the effective recognition of the right to collective bargaining;

Principle 4: the elimination of all forms of forced and compulsory labour;

Principle 5: the effective abolition of child labour;

Principle 6: the elimination of discrimination in respect of employment and occupation.

Environment

Principle 7: Businesses should support a precautionary approach to environmental challenges;

Principle 8: undertake initiatives to promote greater environmental responsibility; and

Principle 9: encourage the development and diffusion of environmentally friendly technologies.

Anti-Corruption

Principle 10: Businesses should work against corruption in all its forms, including extortion and bribery.

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31

Assessing ethical performance

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32

Policies and Processes

Environmental and social management systems

the processes through which organisations implement environmental or social goals, policies and responsibilities and ensure regular auditing and reporting of these approaches, beyond legal compliance.

- Certificate or self-determined
- Internal vs external auditing



34

Process and product certifications

35

What are Certifications?

- **Certifications are formal attestations issued by an authoritative body** confirming that an individual, organization, product, process, or system complies with a set of predefined **standards, criteria, or competencies**.
- They act as objective, third-party validations that provide trust and assurance to clients, consumers, regulators, and other stakeholders.

What are Certifications?

Core characteristics:

1. **Standardized criteria:** Certifications are based on recognized norms, frameworks, or regulations (e.g., ISO, national professional standards).
2. **Independent verification:** A neutral external body evaluates whether the subject meets the defined criteria.
3. **Periodic renewal:** Certifications usually require regular audits or re-assessments to maintain validity.
4. **Transparency and credibility:** They provide external assurance, differentiating certified entities from non-certified competitors.

Examples of certifications

- **Professional certifications:**
  - *Project Management Professional (PMP)* – issued by PMI, certifying project management expertise.
  - *Chartered Financial Analyst (CFA)* – attests to competence in finance and investment.
- **Product certifications:**
  - *CE marking* in the European Union – indicates conformity with safety and environmental requirements.
  - *UL certification* (Underwriters Laboratories) – ensures product safety and performance for consumer goods.
- **System certifications:**
  - *ISO 9001* – certifies quality management systems.
  - *ISO/IEC 27001* – verifies information security management compliance.

Process vs Product Certifications

Certifications help organisations demonstrate that their practices or products meet defined standards. Assessment is often carried out by an independent third party.

Process certifications

Focus on *how* an organisation manages its activities.

Assess whether a management system meets specified requirements—for example, for environmental management, quality or occupational health and safety.

Do not automatically guarantee that every product is sustainable or that every negative impact has been eliminated.

Product certifications

Focus on the characteristics or impacts of a specific product or service.

Assess criteria such as material origin, environmental performance, safety or social conditions in production.

Apply only to the certified product and the criteria covered by the scheme.

IMP: *To interpret a certification, ask: What is being assessed, against which standard, and by whom?*

What are sustainability certifications?

Sustainability certifications are **third-party validations** confirming that a company or product meets established environmental, social, or governance criteria.

Schemes may be **voluntary** (e.g., B Corp, LEED) or **mandatory** under specific institutional settings.

Certifications cover diverse sustainability dimensions:

- **Environmental:** carbon footprint reduction, energy efficiency, waste management, circular economy.
- **Social:** fair labor practices, human rights, occupational health and safety, diversity.
- **Governance:** ethical conduct, transparency, and accountability mechanisms.

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40

What are sustainability certifications?

•There are over **600 recognized sustainability certification schemes** worldwide (*Ecolabel Index, 2024*), with increasing efforts toward harmonization to ensure global comparability and interoperability.

•Certifications help structure **corporate sustainability management systems**, often linked to reporting standards such as **GRI** (Global Reporting Initiative) or **SASB** (Sustainability Accounting Standards Board).

Example:

A manufacturing company might hold **ISO 14001** for environmental management, **SA8000** for social responsibility, and **ISO 50001** for energy efficiency—creating an integrated sustainability framework across operations.

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41

Process and Product certifications



42

Certification process – Key phases

1 PREPARATION / APPLICATION

The organisation applies to a certification body and defines the scope, boundaries, sites and current documentation.

Example: A manufacturer applying for ISO 14001 provides process maps, environmental registers and legal compliance lists.

2 GAP ANALYSIS / DOCUMENTATION REVIEW

Existing documentation is reviewed against the standard. The organisation updates policies, procedures, work instructions and records.

Example: It defines its internal audit process and introduces corrective-action tracking.

3 IMPLEMENTATION

The organisation puts the system into practice, trains staff, conducts internal audits and management reviews, and takes corrective action. It collects performance data.

Example: Over six months, it monitors energy use and sets reduction targets.

4 CERTIFICATION AUDIT & DECISION

External auditors typically assess readiness and documentation in Stage 1, then verify implementation on site in Stage 2. The certification body grants a certificate after a positive decision.

Example: Auditors visit the plant, interview staff and check records.

5 SURVEILLANCE / RECERTIFICATION

Periodic surveillance audits, often annual, assess whether the system remains effective and conformant. A full recertification audit generally follows after three years, depending on the scheme.

Example: In year 2, auditors check internal audits and management review; in year 3, a full audit is scheduled.

43

Plan, do, check and act



44

Why certifications matter

•From a business perspective, certifications often open doors to **new markets and financing opportunities**. Certified firms can access *green loans*, *sustainability-linked bonds*, and supply chain partnerships that require ESG compliance.

•They also drive **internal performance improvements**, helping companies identify inefficiencies and reduce costs through better resource management.

Example: In the food sector, labels such as **Fairtrade** and **Rainforest Alliance** have reshaped consumer preferences, with certified products commanding higher trust and loyalty thanks to transparent ethical and environmental standards.

FAIRTRADE

RAINFOREST ALLIANCE PEOPLE & NATURE

45

An overview and some examples (1/2)

Certification	*Issuing Body*	*Scope / Main Focus*	*Key Requirements*	*Strengths*
B Corp Certification	B Lab Global	Company-wide ESG performance and governance	B Impact Assessment (min. 80/200 points); legal commitment to stakeholder governance	Strong ESG integration; transparency; recognized globally
ISO 14001	International Organization for Standardization (ISO)	Environmental Management System (EMS)	Implementation of EMS, PDCA cycle, legal compliance, external audit	Most recognized environmental standard; applicable to all industries
EMAS (Eco-Management and Audit Scheme)	European Commission	Environmental management and reporting (EU-based)	EMS + validated environmental statement + legal compliance	Greater transparency and credibility than ISO 14001 in the EU
SA8000	Social Accountability International (SAI)	Social responsibility, labor rights, and workplace conditions	Compliance with ILO conventions, regular audits, supplier oversight	Strong human-rights focus; widely adopted in manufacturing
EcoVadis	EcoVadis	Corporate sustainability rating for suppliers	Assessment on 4 themes: environment, labor and human rights, ethics, procurement	Widely used in global supply chains; quantifiable score
Carbon Trust Certification	Carbon Trust	Carbon and energy management across operations and products	Measurement, reduction plan, and verification (carbon neutrality)	Credible carbon reduction validation; strong in Europe

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46

An overview and some examples (2/2)

Certification	*Issuing Body*	*Scope / Main Focus*	*Key Requirements*	*Strengths*
Cradle to Cradle Certified	C2C Products Innovation Institute	Product-level certification focused on circular design	Evaluation on 5 criteria (materials, reuse, renewable energy, water, social fairness)	Emphasizes innovation and circular economy
Fairtrade Certification	Fairtrade International (FLO)	Ethical sourcing and fair trade in agriculture & manufacturing	Compliance with Fairtrade standards for prices, labor rights, environment	High consumer awareness; ensures fair wages and sustainable sourcing
FSC – Forest Stewardship Council	FSC International	Sustainable forest management and wood products	Traceability, chain-of-custody certification, third-party audit	Global credibility; protects forests and biodiversity
LEED (Leadership in Energy and Environmental Design)	U.S. Green Building Council	Green building certification	Points-based assessment: energy, water, materials, indoor air, innovation	Internationally recognized; drives sustainable construction
BREEAM (Building Research Establishment Environmental Assessment Method)	BRE Group (UK)	Sustainable building design & construction	Category scoring: energy, waste, water, transport, materials	Leading EU building certification; flexible framework
Rainforest Alliance Certified	Rainforest Alliance	Agricultural and forestry sustainability	Standards covering environment, social conditions, and livelihoods	Recognized in global food & beverage sectors

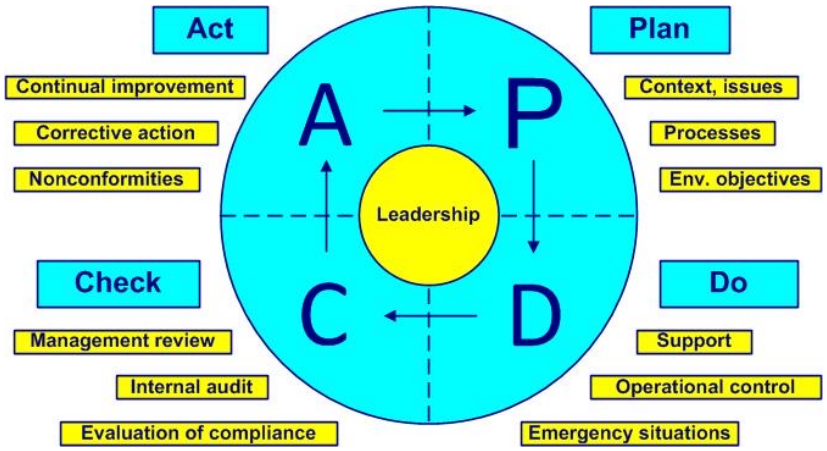
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47

ISO 14001 – Environmental Management

•The **ISO 14001** standard provides the framework for an **Environmental Management System (EMS)** that helps organizations identify, control, and reduce their environmental impact.

•It is based on the **Plan–Do–Check–Act (PDCA)** cycle, emphasizing continual improvement and compliance with legal and regulatory requirements.



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48

EMAS – EU Eco-Management and Audit Scheme

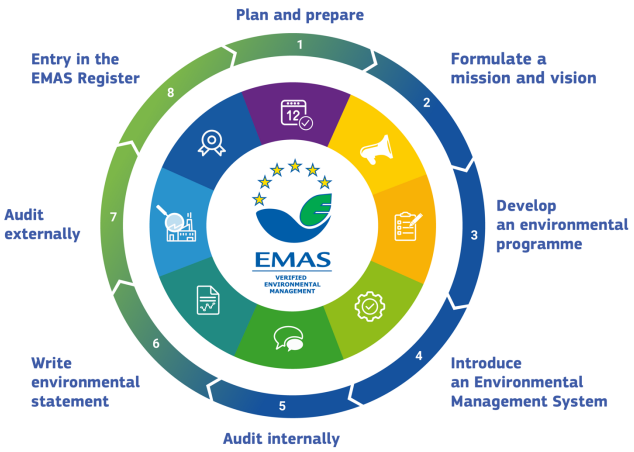
•**EMAS (Eco-Management and Audit Scheme)** is a **voluntary EU regulation (Regulation (EC) No. 1221/2009)** that enables organizations to evaluate, report, and improve their environmental performance beyond ISO 14001 requirements.

•It applies to both **private and public organizations** and promotes transparency through the publication of a **validated environmental statement**, which is verified by accredited environmental verifiers.

•EMAS requires companies to demonstrate **full legal compliance** with environmental legislation and encourages continuous performance improvement.

EMAS VERIFIED ENVIRONMENTAL MANAGEMENT

Performance, Credibility, Transparency



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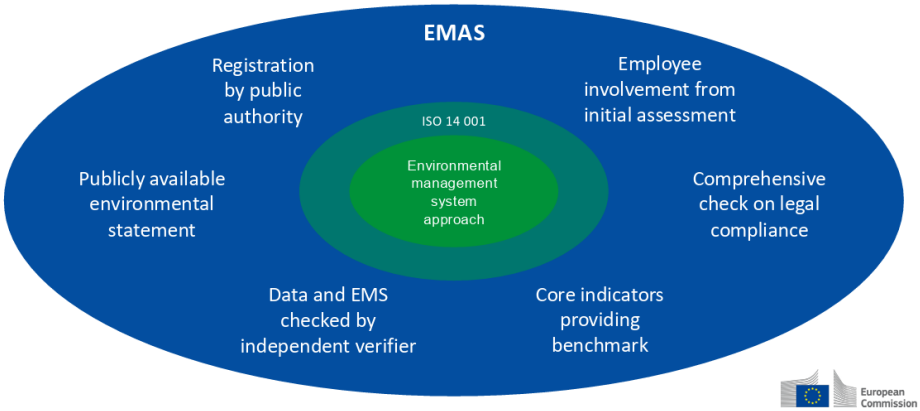
Sources:
- RAVE Study, 2017
- European Commission – Tool presentation

50

EMAS – EU Eco-Management and Audit Scheme

Performance, Credibility, Transparency

EMAS includes **strong requirements for external communication**, **employee involvement**, and **public reporting**.



European Commission

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Sources:
- RAVE Study, 2017
- European Commission – Tool presentation

51

Environmental Management Systems

	ISO 14001	EMAS
Drafting Entity	International Organization for Standardization (ISO)	The European Commission
Released	2004 (version 1), 2015 (version 2)	1993 (version 1), 2009 (version 2)
Methodology	Plan-Do-Check-Act (PDCA)	Plan-Do-Check-Act (PDCA)
Core Elements	• Prevent/mitigate adverse environmental impacts • Assist organisation in compliance obligations • Enhance environmental performance • Control/influence organizations products/services from production to waste • Achieve financial and operational benefit through environmental initiatives • Communicate environmental information to relevant parties	• Stricter requirements for measurement and evaluation of environmental performance against targets and continuous improvement of environmental performance • Compliance with environmental legislation • Strong employee involvement • Environmental core indicators creating multi-annual comparability within and organisations environmental statement to provide information to general public • Registration by a public authority after verification by accredited environmental verifier
Audit	Evidence of at least two internal audits: one annual external audit and provision for internal audits	Evidence of at least two internal audits: one annual external audits plus, accredited third part verifier prior to publication
Usage	About 350,000 ISO 14001-certified organizations around the world	About 14,000 EMAS registered companies (EU 2014)

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Adapted from Iatridis and Schroeder (2016) and Crane et al. (2020)

52

SA 8001

Advancing the human rights of workers around the world.

SA 8001

Is the leading social certification standard for **factories and organizations** across the globe. It was established by Social Accountability International in 1997 as a multi-stakeholder initiative.

Measures social performance in eight areas important to social accountability mainly in **workplaces**, anchored by a management system element that drives continuous improvement in all areas of the Standard.

The **Standard reflects labor provisions** contained within the **Universal Declaration of Human Rights** and **International Labour Organization (ILO)** conventions. It also respects, complements and supports national labor laws around the world, and currently helps secure ethical working conditions for two million workers.

Challenges of sustainability-related certification (1/2)

1. Cost and Resource Intensity

•Achieving and maintaining certification can be **expensive and time-consuming**, requiring audits, staff training, and documentation updates.

•SMEs often struggle with certification costs relative to their size.

•Example: Full ISO 14001 certification may require external consultancy, multi-site audits, and annual surveillance fees.

2. Complexity and Overlap of Standards

•The growing number of ESG-related certifications leads to **confusion and redundancy**.

•Many frameworks overlap (e.g., GRI, SASB, CDP, ISO 26000, B Corp), forcing organizations to align multiple systems and metrics.

•Example: A global company may hold ISO 14001, SA8000, and GRI reporting alignment, which must be integrated into one internal management system.

Challenges of sustainability-related certification (2/2)

3. Risk of Greenwashing

•Some companies use certification **superficially**, focusing on image rather than genuine improvement.

•Without strong verification or impact measurement, certifications can lose credibility.

•Example: Product-level eco-labels have faced criticism when certification bodies lacked rigorous auditing practices.

4. Limited Recognition or Global Equivalence

•Not all certifications are **universally recognized**, creating barriers in international markets.

•Example: EMAS is respected in the EU but less known globally, while ISO 14001 is internationally accepted.

5. Continuous Compliance Pressure

•Certification is not a one-time milestone; it requires **ongoing audits and evidence** of continual improvement.

•Failure to maintain standards can lead to suspension or withdrawal of certification.

56

Internal and external auditing

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57

Internal and External Auditors: Complementary Roles

Internal auditors

Assess the effectiveness of governance, risk management and internal controls, including ethics programmes and whistleblowing mechanisms.

Report findings and recommendations to management and the board or audit committee.

Work within the organisation or as an outsourced function, while maintaining organisational independence and objectivity.

External auditors

Independently examine financial statements and express an opinion on whether they are free from material misstatement.

Consider fraud risks relevant to the financial statements and communicate significant findings.

May also provide assurance on sustainability information under a separate engagement.

IMP: *Auditors support accountability, but management and the board remain responsible for ethical conduct. An audit does not guarantee that all misconduct will be detected.*

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58

Auditing Ethics Across the Supply Chain

What is assessed? Working conditions, health and safety, human rights, environmental practices and corruption risks at suppliers and subcontractors.

Who conducts audits? Company teams or independent third parties review records, visit facilities and interview workers.

The role of NGOs: NGOs can provide local knowledge, raise concerns, support affected communities and scrutinise company practices. Trade unions and workers are also essential sources of information.

The limitations: Audits offer a snapshot and may miss hidden abuses, subcontractors or workers who fear retaliation. Not all the activities, suppliers, etc. are audited.

Beyond the audit: Combine risk-based audits with worker engagement, grievance mechanisms, corrective action and follow-up. Companies should also examine whether their own purchasing practices contribute to supplier risks.

IMP: *An audit is one tool within ongoing due diligence - not proof that a supply chain is ethical. Check who, how many and for what supply chain has been audited (% audited suppliers).*

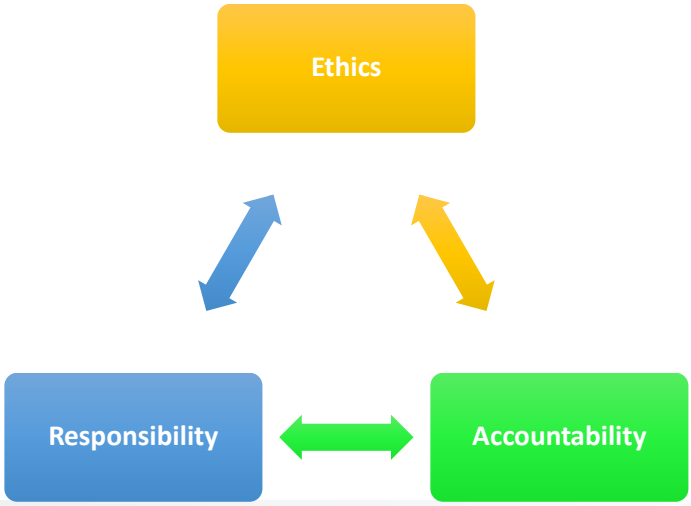
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59

Accounting, accountability and reporting

60

Ethics, responsibility and accountability



61

Accountability is…

"the duty to provide an account (by no means necessarily a financial account) or reckoning of those actions for which one is held responsible".

Gray, Owen e Adams (1996, p. 38)

"Accountability may thus be defined as the means through which individuals and organizations are held externally to account for their actions and as the means by which they take internal responsibility for continuously shaping and scrutinizing organizational mission, goals, and performance"

Ebrahim (2003b, p. 194)

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62

Defining social and sustainability accounting

Social e/o sustainability accounting is the voluntary process concerned with assessing and communicating organisational activities and impacts on social, ethical, and environmental issues relevant to stakeholders

Many terms for one subject: to be accountable!

- Social Accounting
- Corporate Social Reporting
- Corporate Social Disclosure
- Social & Environmental Reporting
- Social Responsibility Disclosure
- Social Responsibility Accounting and Reporting
- Sustainability Reporting
- ….

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63

Social (and environmental) accounting

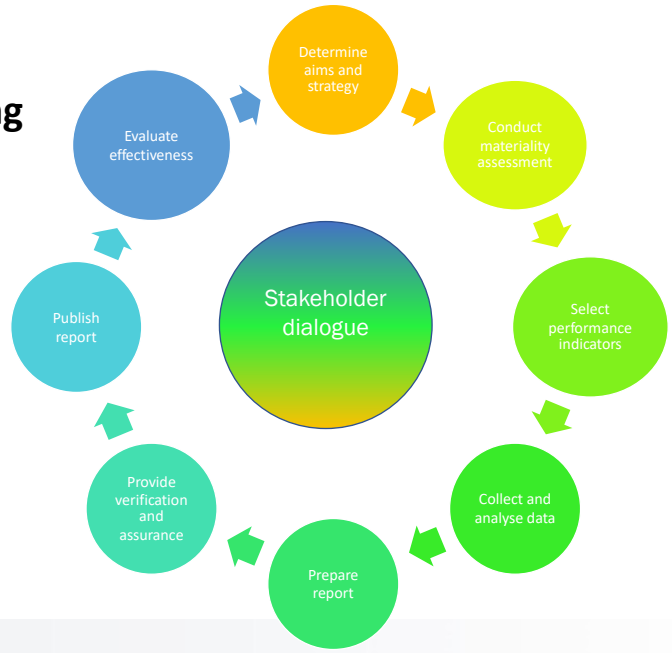
*"… is the **process of communicating** the **social and environmental effects** of organizations economic actions to a particular interest groups within society and society at large. As such, it involves **extending the accountability of organizations** (particularly companies), **beyond the traditional role of providing a financial account to the owners of capital**, in particular, shareholders. Such an extension is predicated upon the assumption that **companies do have wider responsibilities** than simply to make money for their shareholders"*

(Gray, Owen, Adams,1996,p.3).

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64

The process of sustainability accounting



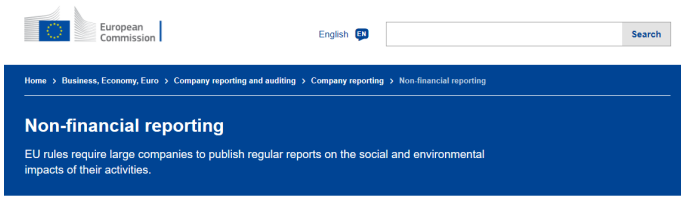
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65

The EU directive on non-financial disclosure

Directive 2014/95/EU

'Large undertakings which are public-interest entities exceeding on their balance sheet dates the criterion of the average number of 500 employees during the financial year shall include in the management report a non-financial statement containing information to the extent necessary for an understanding of the undertaking's development, performance, position and impact of its activity.'



Information must be provided, at a minimum, on:

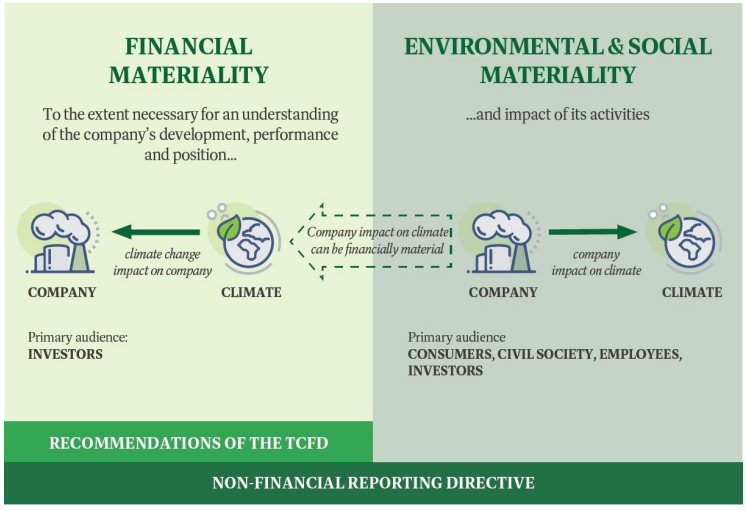
- environmental matters
- social and employee-related matters
- respect for human rights
- anti-corruption and bribery matters

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66

Corporate Sustainability Reporting Directive

NEW!





Double Materiality Matrix

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67

Accounting for Sustainability



The purpose of Accounting for Sustainability **is to use methods related to conventional accounting to register, document and analyse ecological and social impacts of the company's activities**.

Conventional accounting is a concept that supplies a company with important information (both historical and, to a certain extent, also future-oriented) about the course of the business, and which makes use of different instruments.

In the context of sustainable development, there has been both a differentiation and an extension of conventional accounting. The differentiation has given rise to approaches such as environmental cost accounting, investment appraisal for environmental protection projects etc. Thus different cost accounting approaches can be used to identify, for example, what **costs** are **caused by environmental protection measures**, what **costs** are **caused by lack of environmental protection measures** and what **costs could be avoided** by taking such measures.

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69

European Commission

Corporate sustainability due diligence



Fostering sustainable and responsible corporate behaviour for a just transition towards a sustainable economy.



GettyImages/DigitalVision/We Are Stone/Ed Freeman Westend61

On 25 July 2024, the Directive on corporate sustainability due diligence (Directive 2024/1760) entered into force. The aim of this Directive is to foster sustainable and responsible corporate behaviour in companies' operations and across their global value chains. The new rules will ensure that companies in scope identify and address adverse human rights and environmental impacts of their actions inside and outside Europe.

https://commission.europa.eu/business-economy-euro/doing-business-eu/sustainability-due-diligence-responsible-business/corporate-sustainability-due-diligence_en

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70

EU CSDDD

Corporate Sustainability Due Diligence Directive



WHAT IT IS

An EU framework requiring large companies to address adverse human rights and environmental impacts connected to their activities.

WHY IT MATTERS

To protect people and the environment, while setting common expectations for responsible business conduct across the EU.

In practice

Identify and assess risks; prevent or mitigate potential impacts; bring actual impacts to an end or minimise them; provide remediation where required.

Sources: Directive (EU) 2024/1760, as amended by Directive (EU) 2026/470. | Status: October 2026

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71

EU CSDDD

Corporate Sustainability Due Diligence Directive



WHO IS COVERED AND WHEN

EU companies

More than 5,000 employees and more than €1.5bn net worldwide turnover.

Non-EU companies

More than €1.5bn net turnover generated in the EU. No employee threshold applies.

Also relevant

Group and franchise or licensing rules can also bring companies into scope. Smaller suppliers may receive targeted information requests from in-scope customers.

2028
Member States transpose the rules by 26 July

2029
Companies comply from 26 July

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Sources: Directive (EU) 2026/470, Article 2 and Article 4; Council of the EU, 24 February 2026.

72

CSDDD implementation – The EU context

This report has been published to assess the CSRDDD preparedness in the EU context

Many global businesses lack in the human rights due diligence, in particular:

- **80% of companies scored zero on the initial steps of HRDD implementation**;
- **Only 9% of companies demonstrate any evidence they engage with** affected or potentially affected **stakeholders**;
- On average **87% of the financial sector demonstrate ZERO evidence of implementing HRDD**.

Source: Richard Gardiner (25 July 2024). Are companies ready for the EU supply chain law?. World Benchmarking alliances. Available at the following LINK



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73

Ethical issues in supply chain

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82

Nike: the accusation

12th July 2023
Chloe Kim
BBC News
https://www.bbc.com/news/world-us-canada-66171702

https://www.youtube.com/watch?v=1XjXcrfHUnU

Canada probes Nike, Dynasty Gold over alleged use of Uyghur forced labour

12 July



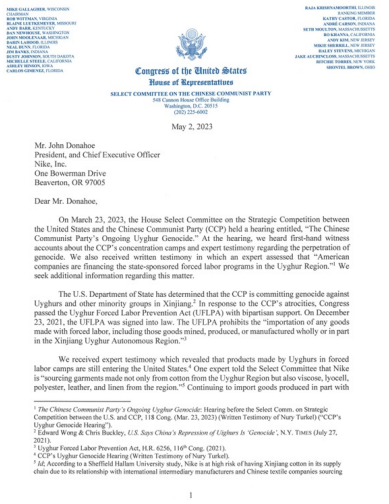
Nike Canada is one of two companies being investigated by the Canadian watchdog

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The role of shareholders: https://assomac.it/fa/news/news-from-world/nike-in-trouble-for-the-supply-chain-involving-xinjiang/

83

The US Congress



Congress of the United States
House of Representatives
SELECT COMMITTEE ON THE CHINESE COMMUNIST PARTY
May 2, 2023

Mr. John Donahoe
President, and Chief Executive Officer
Nike, Inc.
One Bowerman Drive
Beaverton, OR 97005

Dear Mr. Donahoe,

On March 23, 2023, the House Select Committee on the Strategic Competition between the United States and the Chinese Communist Party (CCP) held a hearing entitled, "The Chinese Communist Party's Ongoing Uyghur Genocide." At the hearing, we heard first-hand witness accounts about the CCP's concentration camps and expert testimony regarding the perpetration of genocide. We also received written testimony in which an expert assessed that "American companies are financing the state-sponsored forced labor programs in the Uyghur Region."[3] We seek additional information regarding this matter.

The U.S. Department of State has determined that the CCP is committing genocide against Uyghurs and other minority groups in Xinjiang.[2] In response to the CCP's atrocities, Congress passed the Uyghur Forced Labor Prevention Act (UFLPA) with bipartisan support. On December 23, 2021, the UFLPA was signed into law. The UFLPA prohibits the "importation of any goods made with forced labor, including those goods mined, produced, or manufactured wholly or in part in the Xinjiang Uyghur Autonomous Region."[3]

We received expert testimony which revealed that products made by Uyghurs in forced labor camps are still entering the United States.[4] One expert told the Select Committee that Nike is "sourcing garments made not only from cotton from the Uyghur Region but also viscose, lyocell, polyester, leather, and linen from the region."[5] Continuing to import goods produced in part with

[1] *The Chinese Communist Party's Ongoing Uyghur Genocide*: Hearing before the Select Comm. on Strategic Competition between the U.S. and CCP, 118 Cong. (Mar. 23, 2023) (Written Testimony of Nury Turkel) ("CCP's Uyghur Genocide Hearing").
[2] Edward Wong & Chris Buckley, *U.S. Says China's Repression of Uighurs Is 'Genocide'*, N.Y. TIMES (July 27, 2021).
[3] Uyghur Forced Labor Prevention Act, H.R. 6256, 116th Cong. (2021).
[4] CCP's Uyghur Genocide Hearing (Written Testimony of Nury Turkel).
[5] *Id.* According to a Sheffield Hallam University study, Nike is at high risk of having Xinjiang cotton in its supply chain due to its relationship with international intermediary manufacturers and Chinese textile companies sourcing

1

We would like to offer Nike an opportunity to respond to these serious allegations and to provide information regarding its compliance with the UFLPA. We therefore request that you respond to the following questions by May 16, 2023:

1. Do any garments imported into the United States by Nike contain inputs sourced from Xinjiang and/or inputs made with forced labor of Uyghurs?
2. Please provide a detailed description of the steps Nike has taken since the UFLPA took effect to examine its supply chains with respect to forced labor risk in the manufacture of its products. How do these steps differ, if at all, from the methods utilized before the UFLPA took effect?
3. Please provide a detailed description of the steps Nike has taken since the UFLPA took effect to ensure garments it sells that are made from cotton, viscose, lyocell, polyester, leather, and linen are not manufactured using forced labor by Uyghurs or other minority groups who are subjugated by the CCP.
4. Please provide a detailed description of the steps Nike has taken to examine its other supply chains to ensure that other products it sells are not produced by forced labor undertaken by Uyghurs or other minority groups who are subjugated by the CCP.
5. Do any of Nike's garment suppliers use fabric and/or yarn from any of the following corporations (including their subsidiaries): Jiangsu Lianfa Group, Luthai Textile, Huafu Fashion, Texhong Textile, or Weiqiao Textile?
6. Is fabric and/or yarn made by any of the corporations referenced above used in the production of Nike clothing sold in the United States? If so, please list each corporation whose fabric and/or yarn is used in the manufacture of Nike clothing sold in the United States.
7. If fabric and/or yarn from one of the corporations referenced above is used in the production of Nike clothing sold in the United States, what specific steps does Nike take to ensure that none of this material is made in, or contains cotton from, Xinjiang?
8. Has Nike contractually obligated all its garment suppliers to ensure that no inputs from Xinjiang are used in the manufacture of its clothes sold in the United States? Please provide all relevant documents to support such obligations.
9. What specific methods, other than mere written or verbal assurance from a garment supplier, does Nike use to verify that the supplier is not using inputs from Xinjiang?
10. What audit methods does Nike use to verify that suppliers in China—in and outside of Xinjiang—are not exploiting Uyghurs through state-sponsored labor transfers, given that workers in China cannot speak to auditors about forced labor without fear of government retaliation? Please provide all policies, guidelines, requirements, reviews, assessments, analyses, audits, PowerPoint or other presentations, or other documents that describe, govern, implement, or report conduct, processes, or results (without regard to the title of a given document) that are relevant to the conduct of such audits, as well as copies of any communications pertaining to any incident involving actual, alleged, or anticipated noncompliance with the UFLPA.
11. Has Nike conclusively identified every supplier of fabric, cotton, and yarn in its global supply chain for products sold in the United States? If yes, please provide documents and evidence to substantiate Nike's conclusive identification of such fabric, cotton, and yarn suppliers, including any documents evidencing Nike's methodology with respect to this determination. If not, please provide a detailed explanation of how Nike assesses whether its clothing imports comply with the UFLPA, including any documents describing Nike's methodology with respect to such assessments.
12. Does Nike allow cotton and/or other inputs produced in Xinjiang to be used in the manufacture of Nike clothing sold in markets *outside* of North America?
13. In 2020, reporting revealed that hundreds of Uyghur laborers worked in a factory that manufactures 8 million pairs of Nikes each year.[6] Nike claims to have verified that this factory—owned by a leading Nike Supplier, TKG Taekwang—no longer uses Uyghur forced labor. Given its track record of using forced labor, how did Nike verify that TKG Taekwang no longer uses forced labor? And why does Nike still consider TKG Taekwang to be a suitable business partner?
14. Please provide a detailed description of the steps Nike is taking to examine and monitor its supply chains on an ongoing basis. Please provide all policies, guidelines, requirements, reviews, assessments, analyses, audits, PowerPoint or other presentations, or other documents (without regard to the title of a given document) that describe, govern, implement, or report conduct, processes, or results relevant to the conduct of such examination and monitoring.
15. Please provide a detailed description of your audit and compliance plan(s), and the steps taken thus far to implement controls to ensure that Nike products are not produced by forced labor and that all Nike products are obtained and sold in compliance with the requirements of the UFLPA. Please provide all policies, guidelines, requirements, reviews, assessments, analyses, audits, PowerPoint or other presentations, or other documents (without regard to the title of a given document) that describe, govern,

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Source: https://chinaselectcommittee.house.gov/sites/evo-subsites/selectcommitteeontheccp.house.gov/files/evo-media-document/05.02.2023-letter-to-nike-china-select.pdf

85

Nike: the answer

Nike is committed to ethical and responsible manufacturing and we uphold international labor standards. We are concerned about reports of forced labor in, and connected to, the *Xinjiang Uyghur Autonomous Region (XUAR)*. Nike does not source products from the XUAR and we have confirmed with our contract suppliers that they are not using textiles or spun yarn from the region. ...

NIKE, INC. STATEMENT ON FORCED LABOR, HUMAN TRAFFICKING AND MODERN SLAVERY FOR FISCAL YEAR 2022

https://about.nike.com/en/newsroom/statements/statement-on-forced-labor

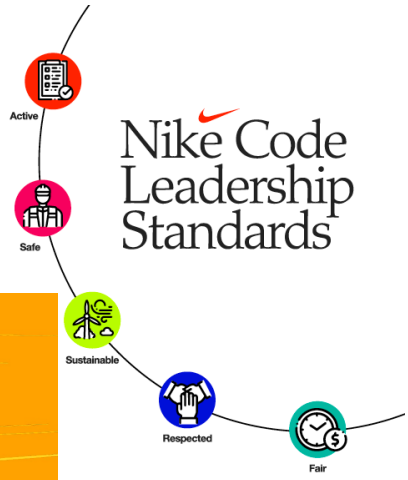
See also the document Nike XUAR Statement

86



Nike Code of Conduct





Nike Code Leadership Standards

87

Nike: The FY2025 statement

NIKE, INC. STATEMENT ON MODERN SLAVERY AND CHILD LABOR FOR FISCAL YEAR 2025

I. BACKGROUND

NIKE supports human rights as defined by the Universal Declaration of Human Rights, which recognizes that "all human beings are born free and equal in dignity and rights." We work to elevate human potential through our products, partnerships and operations, something that cannot be accomplished without a fundamental respect for human rights. We expect the same from direct suppliers, hereinafter referred to as "suppliers". We focus on working with long-term, strategic suppliers that demonstrate a commitment to engaging their workers, providing safe working conditions and advancing environmental responsibility in accordance with NIKE's Code of Conduct and Code Leadership Standards. Our expectations include working to combat risks of forced labor and child labor.

We furnish this statement pursuant to the UK Modern Slavery Act, the Australian Modern Slavery Act, the California Transparency in Supply Chains Act, and the Canadian Fighting Against Forced Labour and Child Labour in Supply Chains Act. This statement discusses NIKE's global business practices to address forced labor and child labor. It encompasses NIKE, Inc., and its consolidated subsidiaries because we take a global approach to human rights and compliance, including forced labor and child labor. However, not all of our consolidated subsidiaries are subject to one or more of the foregoing Acts. This statement is provided only by the entity specifically covered by the respective act.

As used in this statement, forced labor includes modern slavery, prison labor, indentured labor, bonded labor, human trafficking, or other similar conduct. For more information on NIKE's commitments, please see the Nike website.

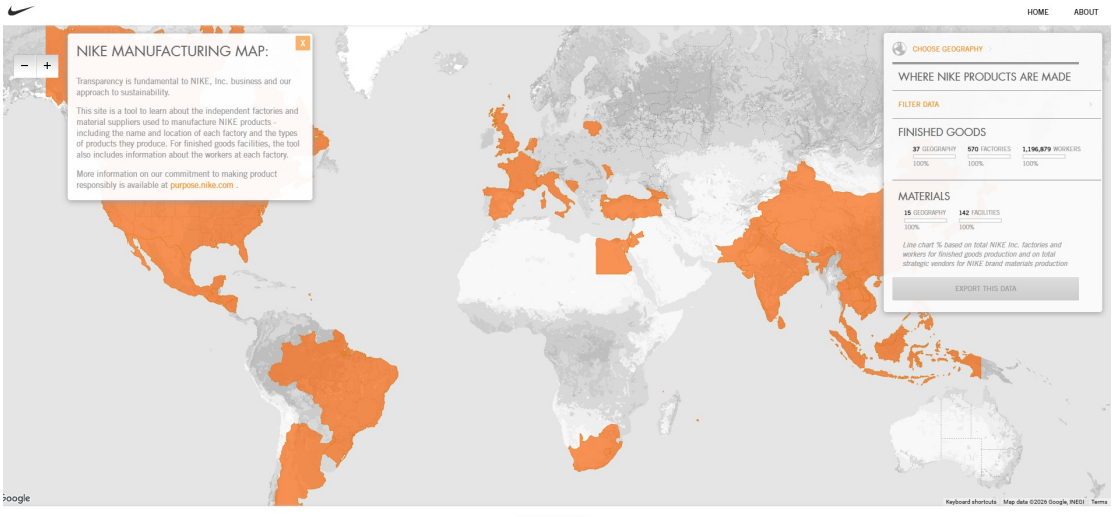
This statement covers the period from June 1, 2024 to May 31, 2025. All references to websites, reports or other documents in this statement are for information only. The content of such websites, reports or other documents (or any other information they refer to) is not incorporated by reference into this statement.

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Source: https://nmp.about.nike.com/originals/about/prod/d35297c7-89cf-4240-bd50-803af806ce4d/Nike--FY25-Statement-On-Forced-Labor-Child-Labor-Human-Trafficking-and-Modern-Slavery.pdf?s=7cfe89932eac7c7b46c20438f2d2ca7d2ca64f55c4c3d624c779e068caf25649

90

The Nike Manifacturing Map



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Source: https://manufacturingmap.nikeinc.com/#

91

Nike: Worker Voice

About Magazine Mission Company Newsroom English

Responsible Supply Chain Purpose

Copy Link

Worker Voice

NIKE, Inc.'s Engagement and Wellbeing (EWB) program

NIKE, Inc.'s two-phase Engagement and Wellbeing (EWB) program is the backbone of our work in supporting improved engagement and wellbeing throughout our supply chain. During phase one, suppliers partner with a NIKE, Inc.-approved service provider to deploy NIKE Inc.'s Engagement and Wellbeing (EWB) Survey to a statistically significant sample size of workers to establish a baseline for current engagement levels. The survey is anonymous. The survey includes 16 content questions divided into seven categories: Skill Building, Communication, Health and Safety, Compensation, Social Connection, Stress and Respectful Workplace.

During phase two, suppliers use insights from their survey results to create a transparent action plan. The plan is intended to support a holistic worker experience and instill a culture of feedback by integrating worker engagement and wellbeing processes into a facility's overall human resources approach. NIKE, Inc. requires that results be communicated to workers within 28 days of survey deployment.

Since 2017, we have strategically scaled the EWB program to reach more suppliers and, by the end of FY25, 100 percent of strategic suppliers* were participating in the program and had completed both phases of the EWB program.

As we look ahead, we expect our strategic suppliers to expand engagement efforts beyond an approach focused on statistically significant sampling toward increasing direct participation by their entire workforce. This next phase reflects our focus on deepening insight, strengthening accountability and embedding worker voice into how businesses operate every day.

Beginning in FY26, we are evolving our survey approach to better capture the drivers of worker wellbeing and engagement. We believe that new questions on mental health, worker voice and inclusivity, along with enhanced demographic insights such as relocation status and employment type, will surface a more holistic understanding of worker experiences.

*Strategic suppliers: strategic finished goods suppliers; suppliers representing approximately 80 percent of total footwear and apparel production.

We believe a skilled, valued and engaged workforce is essential to long-term growth and resiliency. Not only are engaged workers more likely to have a greater feeling of wellbeing, but they are also likely to be more productive and have lower rates of absenteeism.

When workers feel heard, respected and empowered to contribute, suppliers are better positioned to attract and retain talent, strengthening performance and building more resilient workplaces. That's why we continue to work with suppliers to understand worker experience and embed worker voice into how decisions that impact worker experience are made, how workplaces are managed and how progress is measured.



Source: https://about.nike.com/en/mission/initiatives/worker-voice

92

Human Rights and compliance

Copy Link

Human Rights and Labor Compliance Standards

Our Respect for Human Rights

At NIKE, Inc., we respect internationally recognized human rights. As part of our approach to understanding and addressing human rights risks and impacts, we look to the Universal Declaration of Human Rights, the International Labour Organization's Declaration on Fundamental Principles and Rights at Work, the UN Guiding Principles on Business and Human Rights and the OECD Guidelines for Multinational Enterprises.

We reflect respect for internationally recognized human rights in our policies, standards and strategies, including our internal Code of Business Conduct – Inside the Lines, our Supplier Code of Conduct and Code Leadership Standards and our Privacy Policy.

NIKE, Inc. works to provide safe, confidential and easily accessible channels to enable anyone to report on potential adverse impacts and grievances. Our Speak Up Portal, which can be accessed anytime online or by phone, is a resource to ask questions or raise concerns about potential violations of our policies. We treat all reports seriously and investigate promptly. NIKE, Inc. does not tolerate retaliation in any form.

We recognize there is no finish line when it comes to respect for human rights. We will continue our efforts to create equal playing fields for all.

Respect for Human Rights in NIKE, Inc.'s Supply Chain

NIKE, Inc. focuses on building relationships with suppliers that respect human rights and invest in their workforce. Our expectations for suppliers start with our Code of Conduct and Code Leadership Standards. Our Code of Conduct is aligned with international standards and contains the foundational requirements all suppliers must meet in producing NIKE, Inc. products. The Code Leadership Standards contain more detailed requirements on how the Code of Conduct must be implemented. They also include specifications on the development of robust management systems which are essential to consistently maintaining compliance with local laws and our standards.

Source: https://about.nike.com/en/resources/human-rights-and-labor-compliance-standards

93

Ethical issues in supply chain

Supply chain

A supply chain is the network of organizations that are involved, through upstream and downstream linkages, in the different processes and activities that produce value in the form of products and services delivered to the ultimate consumer

(Christopher, 1992)



Supply chain management

The systemic, strategic coordination of the traditional business functions and the tactics across these business functions within a particular company and across businesses within the supply chain, for the purposes of improving the long-term performance of the individual companies and the supply chain as a whole.

(Mentzer et al. 2001)

96

Direct and extended supply chain

Direct supply chain → consists of a company, a supplier, and a customer involved in the upstream and/or downstream flows of products, services, finances, and/or information

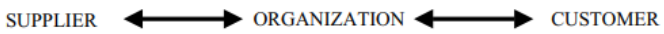


FIGURE 1a - DIRECT SUPPLY CHAIN

Extended supply chain → it includes suppliers of the immediate supplier and customers of the immediate customer, all involved in the upstream and/or downstream flows of products, services, finances, and/or information

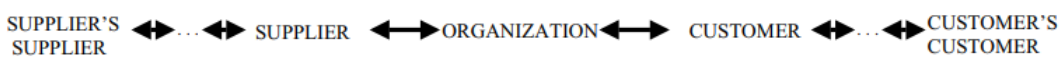


FIGURE 1b - EXTENDED SUPPLY CHAIN

Adapted from Mentzer et al. (2001)

97

Social issue	Definition
Labour conditions	Working conditions of the employees includes low wages, extended hours of working, right to form unions, contract labour and exploitation of the employee
Child labour	Child labour concerns work by children under the age of 15 that prevents school attendance and work by children under the age of 18 that is hazardous to the physical or mental health of the child
Human rights	Human rights are rights inherent to all human beings, irrespective of nationality, place of residence, sex, national or ethnic origin, colour, religion, language or any other status. Equal rights entitlement without discrimination is the core of human rights

Source: Yawar and Seuring (2017)

Fast-fashion giant Shein investigated its own factories after damning report on working conditions —and the results are costing $15 million to fix



Fortune, 2022

Mars, Nestlé and Hershey to face child slavery lawsuit in US

Chocolate companies are among the defendants named in a lawsuit brought by former child workers in Ivory Coast



Ivory Coast produces about 45% of the world's cocoa. Photograph: Thierry Gouegnon/Reuters

The Guardian, 2021

98

Amazon cited by Labor Department for exposing warehouse workers to safety hazards

CNBC, 2023

KEY POINTS
- Amazon was cited by the Department of Labor at three of its warehouses.
- Federal officials found Amazon workers hazards" such as lower back injuries.
- Amazon faces ongoing federal probes

Disney owes female workers more than $150m in wages, pay gap suit alleges

A salary analysis found that when controlled for other factors affecting pay, the disparities arose from gender discrimination



Attorneys for a group of women suing Disney allege the corporation paid women on average 2% less. Photograph: John Raoux/AP

The Guardian, 2023

Amazon, DoorDash, Walmart, trapping workers in poverty: UN rights expert



UN, 2023

Social issue	Definition
Health and safety	It includes physical and mental health which are directly related to safety and hygiene at work. It also describes hazardous working conditions which could leave long-term effects on the personal health of the worker
Minority development	Minority development is the development of those populations who are considered minorities in terms of population by the virtue of their religion, race and ethnicity
Disabled/marginalised people inclusion	Those groups who are mostly neglected in the societies due to physical inabilities and those who are left out or neglected by the government. Population living below the poverty line is considered marginal
Gender	Gender equality refers to the equal treatment of women and transgender, catering to their special needs and assigning equal rights at the work place

Source: Yawar and Seuring (2017)

99

Managing social or sustainability issues within the Supply chain

The management of social or sustainability issues includes decisions that prevent a firm from taking up unethical practices and indulging in socially unacceptable practices. However, what constitutes a social issue greatly differs among different stakeholders because they constantly change and are dependent on conditions under which a firm is operating.

(Yawar and Seuring, 2017)

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100

Responsible supply chain actions

- The emergence of **external stakeholders** like the media, NGOs and civil society actors has effectively highlighted the unethical behavior of firms, encouraging them to take up effective strategies against social issues
- Further, the mismanagement of social issues can lead to a consumer backlash if stakeholder expectations are not met
- The management of social and environmental issues is seen as a potential way of reducing risk (Klassen and Vereecke 2012)
- New regulations and laws dealing with human health and safety which encourage firms to look at societal and social issues also highlight the relevance of social issues in supply chains

(Yawar and Seuring, 2017)

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101

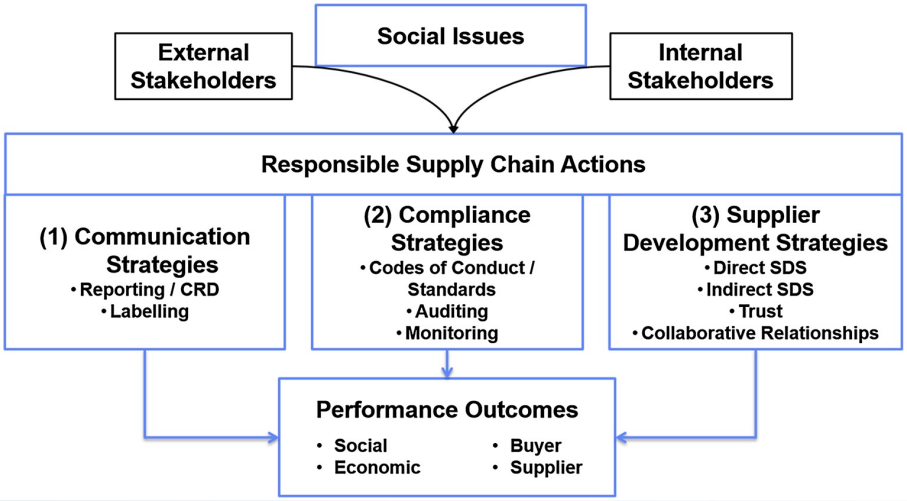
Responsible supply chain actions

- Responsible supply chain actions are defined as actions that a firm initiates to address social issues that are subsequently accepted, adopted and implemented by other supply chain members
- The observation is that different stakeholders invoke various demands, and the firm has to make decisions accordingly to fulfil the expectations of actors in the supply chain

(Yawar and Seuring, 2017)

102

Conceptual framework for managing social or sustainability issues in supply chains



Yawar and Seuring, 2017 p. 624

103

Conceptual framework for managing sustainability issues in supply chains

Communication strategies

Are necessary to convey **legitimacy and accountability** to the firm's socially responsible behaviour. Communication strategies are important to fend off stakeholder concerns, create a loyal customer base, attract socially responsible investments and reap benefits from CSR initiatives.

1. **Corporate responsibility documents or sustainability reporting** can provide information regarding a company's economic, environmental and social performance'':
   - A **corporate responsibility document** is a proactive stance taken up by firms to communicate how sustainability concerns of stakeholders are best integrated into the firm's operations.
   - **Sustainability reporting** helps the firm in communicating responsible actions thereby encouraging suppliers and other stakeholders to act ethically.
2. **Labelling** is defined as a direct way of conveying product characteristics and a step towards gaining legitimacy in the eyes of external stakeholders It increases the transparency of products and can be used in commercializing ethical aspects by capturing niche markets.

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Source: Yawar and Seuring (2017)

104

Conceptual framework for managing sustainability issues in supply chains

Compliance strategies

Compliance strategies are mechanism or actions taken up by firms through which the implementation of stakeholder expectations across their supply chain partners is **ensured**.

Compliance strategies are frequently based on codes of conduct (CoC) or standards, auditing and monitoring.

1. **Codes of conduct** act as initiatives for building partnerships with shared values and commitment.
2. **Auditing** verifies the implementation and measures the degree of compliance with codes and standards initiated by the firms. It helps in implementing monitoring mechanisms within supply chains especially at the supplier level which is weakly geared towards implementing codes and standards.

Source: Yawar and Seuring (2017)

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105

Conceptual framework for managing sustainability issues in supply chains

Compliance strategies

1. **Monitoring** is defined as an act of *controlling the behaviour of suppliers* against the expectations of the firm; it is an effective way of measuring the firms' expectations and conveying the same to the stakeholders.

While codes of conduct and standards are instruments introduced by firms to deal with social issues, auditing and monitoring ensure their implementation and are instruments to gauge supplier performance.

Source: Yawar and Seuring (2017)

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106

Conceptual framework for managing sustainability issues in supply chains

Supplier development strategies

Actions taken up by firms to upgrade, help and train suppliers directly and indirectly to fulfil the demands of stakeholders. Supplier development strategies capture the attempt of firms to seek solutions to social concerns in supply chains through collaborations, training, asset-specific investments, offering technical and financial assistance, educating the suppliers, etc.

Supplier development strategies are responses that satisfy the demands of internal stakeholders and address the concerns of external stakeholders (i.e., legitimacy, accountability on suppliers' practices, thus increasing pressure on internal stakeholders).

Direct and indirect SDS help in evaluating the supplier status in dealing with social issues in supply chains as well as taking up related responsible supply chain actions to overcome them.

Source: Yawar and Seuring (2017)

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107

Conceptual framework for managing sustainability issues in supply chains

Supplier development strategies

However, value is created along the supply chain if the relationship between buyers and suppliers prospers under trust and commitment.

Trust and commitment leads to increased information sharing and act as antecedents for the achievement of improved economic performance. Specifically, economic performance is generated by avoiding switching and supplier selection costs, reducing also costs for monitoring and auditing.

Source: Yawar and Seuring (2017)

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108

Conceptual framework for managing sustainability issues in supply chains

Integrating strategies

These strategies are not mutually exclusive and considerable differences exist in their implementation across supply chains, i.e. the implementation of (some) compliance strategies may require a third-party certification, ecc.

They all cater for risk management and financial prosperity across the supply chain while meeting the demands of stakeholders.

Further, items within the supply chain action category are interrelated: e.g., supplier development strategies drive the implementation of codes of conduct and standards and also help in carrying out auditing and monitoring activities.

However, communication strategies like reporting and labelling help in disseminating the information on codes of conduct and standards taken up by firms.

Thus, each dimension is distinguishable yet incomplete without another one.

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Source: Yawar and Seuring (2017)

109

Conceptual framework for managing sustainability issues in supply chains

Performance outcomes

Economic performance of an organization is an increase in the net shareholder value that is a result of improving market performance.

Performance in a conventional supply chain is measured in terms of quality, dependability, flexibility and costs.

Social performance in a broader sense can be viewed as the measurement of social issues concerning society. Social indicators used to measure performance outcomes are mostly indirect, noneconomic activities like fair and equal treatment of employees, improving the health and safety of workers which generates goodwill and loyalty to the firm, etc.

However, measuring performance using social indicators is difficult because of the dynamic nature of social issues and the lack of composite indicators that are enforceable across the supply chain. Further, a supply chain consists of multiple firms with multiple strategies where trust, transparency and cultural issues play a crucial role in managing social issues.

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Source: Yawar and Seuring (2017)

110

Reference

Ali Yawar, S., Seuring S. (2017), Management of social issues in Supply Chain: A literature review exploring social issues, actions and Performance Outcome, Journal of Business Ethics, 141: 621-643

On sustainable procurement see:

https://www.youtube.com/watch?v=t1P3lXP7iXY

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111